

QUESTION PAPER SET 1

Financial Accounting IV

Time : 3 Hour

Max.Marks : 75

PART A

I Answer all the following questions

(9 x 1 = 9 Marks)

1	In the absence of a partnership deed, profits and losses are divided by partners in	M 1.04	R
2	Partners' Current Accounts are opened when their capital accounts are.....	M 1.01	R
3	When A and B contribute to profit and loss ratio at 3:3. Admit C is a partner giving him a 1/5th share of profits. This will be given by A and B in ratio	M 2.01	R
4	Share of goodwill brought in cash by the new partner is called	M 2.01	R
5	On dissolution of a firm are paid first	M 3.03	R
6	As per ruling in Garner Vs Murray case, the deficiency of capital account of insolvent partner should be divided among the solvent partners in their	M 3.04	R
7	Shares are said to be when the number of shares that is applied for is more than the number of shares that are offered for the subscription	M 4.02	R
8	Section 43 of the Companies Act, 2013 prescribes that the share capital of an enterprise broadly can be types	M 4.01	R
9	When 500 shares of Rs.10 each on which Rs.3 on final call is not paid, share forfeiture account is credited with Rs.	M 4.04	R

PART B

II Answer any three questions

(8x3=24 Marks)

1	List out different methods of valuation of goodwill	M 1.03	R
2	The drawings of Mr. Z during the year 2018 were as follows: Rs.2,000 on 31-03-2018 Rs.6,000 on 01-07-2018 Rs.4,000 on 31-08-2018 Rs.8,000 on 01-10-2018 Calculate interest on drawings of Z at 12% per annum under product method for the accounting year ended 31-12-2018	M 1.02	U
3	Write the journal entries passed to adjust interest on drawings, if the partnership follow fixed capital method?	M 1.02	U
4	A and B were sharing profits in the ratio of 4:3. C was admitted with 1/5 th share in profits of business. Calculate the new ratio and	M 2.02	U

	sacrificing ratio		
5	A and B were partners sharing profit and losses in the ratio of 4:3. In view of C's admission, they decided to revalue their assets and liabilities as indicated below: (a) To increase the value of buildings by Rs. 60,000. (b) To decrease machinery by Rs.16,000, furniture by Rs.4,000 and stock by Rs. 12,000. (c) A provision for outstanding liabilities was to be created for Rs.800 Show the Revaluation Account.	M 2.04	U
6	How does a revaluation account differ from realisation account?	M 3.02	U
7	Explain the situation of compulsory dissolution of firm	M 3.01	U
8	Distinguish between dissolution of partnership and dissolution of firm	M 3.01	U
9	ABC Co. Ltd forfeited 150 equity shares of Rs.10 each, issued at a premium of Rs.5 per share, held by Z for nonpayment of allotment money of Rs.8 per share (including premium of Rs.5 per share), the first call of Rs.2 per share and final call of Rs.3 per share. Give journal entries to record the forfeiture	M 4.02	U
10	Distinguish between calls in advance and calls in arrears.	M 4.02	R

PART C

Answer all questions. Each question carries 7 marks

III	A firm's net profits during the last three years were Rs.90,000 Rs.1,00,000 and Rs.1,10,000. The capital employed in the firm is Rs.3,00,000. A normal return on the capital is 10%. Calculate the value of goodwill on the basis of two years' purchase of super profit.	M 1.04	U		
OR					
IV	Show how the following items will appear in the capital accounts of the partners, A and B. When their capitals are a) fixed and b) fluctuating		M 1.01	U	
		A			B
	Capital	90000			7000
	Drawings	12000			0
	Interest on drawings	360			9000
	Interest on capital	5400			270
	Salary	12000			4200
	Commission	-			-
Share of profit	6000	6000			
		4000			
V	A firm's net profits during the last three years were Rs.90,000 Rs.1,00,000 and Rs.1,10,000. The capital employed in the firm is Rs.3,00,000. A normal return on the capital is 10%. Calculate the value of goodwill on the basis of two years' purchase of super profit.	M 1.04	U		

VI	The balance sheet of a partnership firm of M and N, who were sharing profits in the ratio of 5: 3 respectively, as on 31st March, 2012 was as follows:				M 2.02	A
	Liabilities	Rs	Assets	Rs		
	M's capital	205,000	Building	190,000		
	N's capital	165,000	Machinery	85,000		
	Profit and loss account	56,000	Furniture	54,740		
	Creditors	27,400	Stock	72,630		
			Debtors	30,000		
			Cash	21,030		
		453,400		453,400		
On the above date, O was admitted on the following terms: (i) O would get 1/5th share in the profits. (ii) O would pay Rs.1,20,000 as capital and Rs.16,000 for his share of goodwill. (iii) Machinery would be depreciated by 10% and building would to be appreciated by 30%. A provision for bad debts @ 50% on debtors would be created. An unrecorded liability amounting to Rs.3,000 would be recorded in the books of account. Prepare revaluation account, capital accounts						
OR						
VII	A, B and C were partners of a firm sharing profits and losses in proportion to their capitals. Their balance sheet as on 31st December 2018 stood as under:				M 2.04	A
	Liabilities	Rs	Assets	Rs		
	Creditors	21,000	Cash at Bank	16,000		
	Reserve fund	48,000	Debtors 20,000			
	Capital accounts	180,000	Less Provision for doubtful debts 1,000	19,000		
			Stock	18,000		
			Machinery	48,000		
			Land and Building	100,000		
	A 90,000		Goodwill	48,000		
	B 60,000					
C 30,000						
	249,000		249,000			
On 1st January, 2019, B retired from the firm on the following terms: (a) Goodwill of the firm was estimated at Rs.36,000. (b) The land and building was appreciated by 10% (c) Provision for doubtful debts was reduced by Rs.600. (d) A provision of Rs.3,000 was made in respect of an outstanding bill for repairs. Show revaluation account, Capital accounts						

VIII	A, B and c are partners in a firm sharing profits and losses in the proportion of 1/2,3/10 and 1/5 respectively. Their balance sheet as on 31.3.2016 is as under: <table><tr><td>Liabilities</td><td>Rs</td><td>Assets</td><td>Rs</td></tr><tr><td>Sundr creditors</td><td>62000</td><td>Cash at bank</td><td>81000</td></tr><tr><td>Reserve fund</td><td>40000</td><td>Debtors 62000</td><td></td></tr><tr><td></td><td></td><td>Les Provision 1000</td><td>61000</td></tr><tr><td>A's capital</td><td>160000</td><td>Stock</td><td>40000</td></tr><tr><td>B's capital</td><td>120000</td><td>Plant & Machinery</td><td>100000</td></tr><tr><td>C's capital</td><td>60000</td><td>Buildings</td><td>160000</td></tr><tr><td></td><td>340000</td><td></td><td>340000</td></tr></table> C retires on 1st April 2016 subject to the following terms: 1.Buildings are to be appreciated by 10% 2. Provision for baddebts to be raised to Rs.2400 3. Goodwill is to be raised at Rs.40000 . The retiring partner is to be paid off immediately. Pass journal entries and show revaluation a/c and capital accounts.	Liabilities	Rs	Assets	Rs	Sundr creditors	62000	Cash at bank	81000	Reserve fund	40000	Debtors 62000				Les Provision 1000	61000	A's capital	160000	Stock	40000	B's capital	120000	Plant & Machinery	100000	C's capital	60000	Buildings	160000		340000		340000	M 2.04	A
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IX	Balance Sheet of M/s A&S as on 31/03/2018 <table><tr><td>Liabilities</td><td>Rs</td><td>Assets</td><td>Rs</td></tr><tr><td>Creditors</td><td>7000</td><td>Cash</td><td>3,000</td></tr><tr><td>General Reserve</td><td>30,000</td><td>Debtors</td><td>8,000</td></tr><tr><td>A's capital</td><td>30,000</td><td>Stock</td><td>19,000</td></tr><tr><td>B's capital</td><td>33,000</td><td>Fixed assets</td><td>70,000</td></tr><tr><td></td><td>100,000</td><td></td><td>100,000</td></tr></table> The firm is dissolved on 31/03/2018 Assets realized as follows: 1. Debtors were to be taken over by creditors 2. Fixed assets are sold at 10% more than the book value 3. Stock is taken over by A 4. Computer worth Rs.6,000 is sold for Rs.5,000 Prepare the accounts relating to dissolution.	Liabilities	Rs	Assets	Rs	Creditors	7000	Cash	3,000	General Reserve	30,000	Debtors	8,000	A's capital	30,000	Stock	19,000	B's capital	33,000	Fixed assets	70,000		100,000		100,000	M 3.03	A								
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	100,000		100,000																																
OR																																			
X	Describe the ruling in the Garner vs. Murray case.	M 3.04	U																																
XI	The Directors of a company forfeited 100 equity shares of Rs.10 each on which the first call of Rs.3 and final call of Rs.3 had not been paid. Of these 40 shares were reissued upon payment of Rs.300. Journalise the transactions of forfeiture and reissue of shares.	M 4.04	U																																
OR																																			
XII	P Co. Ltd. issued 50,000 shares of Rs.10 each payable as Rs.3 on application, Rs.4 on allotment and the balance on call. Applications for 70,000 shares had been received. Application for 8,000 shares was rejected and the remaining applicants were allotted the 50,000 shares on pro-rata basis. The excess amount on application was adjusted towards the amount due on allotment. All the shareholders paid the amount due. Journalise the transactions and prepare ledger	M 4.03	U																																

	accounts.																														
XIII	C Co Ltd. has an authorised capital of Rs. 50,00,000 divided into equity shares of Rs. 100 each. The company invited applications for 40,000 shares, applications for 36,000 shares were received. All calls were made and duly received except for 500 shares on which the final call of Rs. 20 was not received. The company forfeited 200 shares on which final call was not received. Show how share capital will appear in the balance sheet of the company as per (revised) Schedule VI Part-I of the Companies Act. Also prepare 'Notes to Accounts' for the same.	M 4.05	U																												
OR																															
XIV	Show the following items in the balance sheet of A Ltd. as per revised schedule VI as on March 31, 2013: <table border="1"> <tr> <td>8% Debentures</td><td>10,00,000</td><td>Discount on issue</td><td></td></tr> <tr> <td>Equity share capital</td><td>50,00,000</td><td>of 8% debentures</td><td>40,000</td></tr> <tr> <td>Securities premium</td><td>20,000</td><td>(Amount to be written in next</td><td></td></tr> <tr> <td>Preliminary expenses</td><td>40,000</td><td>four years approx.)</td><td></td></tr> <tr> <td>Statement of</td><td></td><td>Loose tools</td><td>20,000</td></tr> <tr> <td>Profit & Loss (cr.)</td><td>1,50,000</td><td>Bank balance</td><td>60,000</td></tr> <tr> <td></td><td></td><td>Cash in hand</td><td>38,000</td></tr> </table>	8% Debentures	10,00,000	Discount on issue		Equity share capital	50,00,000	of 8% debentures	40,000	Securities premium	20,000	(Amount to be written in next		Preliminary expenses	40,000	four years approx.)		Statement of		Loose tools	20,000	Profit & Loss (cr.)	1,50,000	Bank balance	60,000			Cash in hand	38,000	M 4.05	U
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Question Wise Analysis

Course: Financial Accounting IV SET 1

Q.No	Module Outcome	Cognitive Level	Marks	Time
I. 1	M 1.04	R	1	2
2	M 1.01	R	1	2
3	M 2.01	R	1	2
4	M 2.01	R	1	2
5	M 3.03	R	1	2
6	M 3.04	R	1	2
7	M 4.02	R	1	2
8	M 4.01	R	1	2
9	M 4.04	R	1	2
II 1	M 1.03	R	3	6
2	M 1.02	U	3	6
3	M 2.04	U	3	6
4	M 2.04	U	3	6
5	M 2.01	U	3	6
6	M 3.02	U	3	6
7	M 3.01	U	3	6
8	M 4.02	U	3	6
9	M 4.02	U	3	6
10	M 4.04	R	3	6
III	M 1.04	U	7	19
IV	M 1.01	U	7	19
V	M 2.02	U	7	19
VI	M 2.04	A	7	19
VII	M 3.03	A	7	19
VIII	M 3.04	A	7	19
IX	M 4.04	A	7	19
X	M 4.03	U	7	19
XI	M 4.05	U	7	19
XII	M 4.05	U	7	19
XIII	M 1.04	U	7	19
XIV	M 4.04	U	7	19

Course : Financial Accounting IV SET 1**Blue Print****Mark Distribution**

Module	hr / Module	Marks/Module ($h_i / \sum H_i$) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	15	32	2	2	3	9	3	21	8	32
2	14	30	2	2	2	6	3	21	7	29
3	12	25	2	2	3	9	2	14	7	25
4	17	36	3	3	2	6	4	28	9	37
Total	58	123	9	9	10	30	11	84	31	123

Blue Print**Cognitive Level Mark Distribution**

Cognitive Level	Marks	% of Marks
Remembering	15	12%
Understanding	80	65%
Applying	28	23%
Analysing	-	-
Evaluating	-	-
Creating	-	-
Total	123	100%

SCHEME OF VALUATION SET 1
(Scoring Indicators)

Revision: 2021

Course Code :

Course Title: FINANCIAL ACCOUNTING IV

Qn. No.	Scoring Indicators				Split score	Total score																	
1	1	Equal Ratio				1 each	9																
	2	Fixed																					
	3	3:3																					
	4	Premium																					
	5	External Liabilities																					
	6	In the ratio of their capitals standing just prior to dissolution																					
	7	Over subscribed																					
	8	Two –Equity and Preference shares																					
	9	Rs.3500																					
II 1.	1) Average Profit Method 2) Weight Average Method 3) Super Profit Method 4) Capitalisation of Average Profit 5) Capitalisation of Super Profit 6) Present Value of Super profits method				6* ½	3																	
2.	<table><tr><td>2000*9=18000 6000*6=36000 4000*5=20000 8000*3=24000</td><td colspan="3">Sum of products*1/12*rate of interest 98000* 12% * 1/12 =980</td></tr></table>				2000*9=18000 6000*6=36000 4000*5=20000 8000*3=24000	Sum of products*1/12*rate of interest 98000* 12% * 1/12 =980			3	3													
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3	1. Partner’s current a/c dr To Int on drawings 2. Int on drawings a/c Dr To P&L appropriation a/c				2*1 ½	3																	
4	New ratio = 16;12;7 Sacrificing ratio = 4:3				2*1 ½	3																	
5	<table><tr><td>Machinery</td><td>16000</td><td rowspan="6">Buildings</td><td rowspan="6">60000</td></tr><tr><td>Furniture</td><td>4000</td></tr><tr><td>Stock</td><td>12000</td></tr><tr><td>O/S Liability</td><td>800</td></tr><tr><td>A’s capital – 15543</td><td></td></tr><tr><td>B’s capital - 11657</td><td>*27200</td></tr><tr><td></td><td>60000</td><td></td><td>60000</td></tr></table>	Machinery	16000	Buildings	60000	Furniture	4000	Stock	12000	O/S Liability	800	A’s capital – 15543		B’s capital - 11657	*27200		60000		60000	4* ½ = 2+ 1			3
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	60000		60000																				
6	Revaluation at the time of reconstitution while realisation account is prepared on dissolution				3	3																	
7	Compulsory dissolution takes place were a. all partners except one become insolvent or insane				Any 3 * 1	3																	

	b. business becomes illegal c. all except one decide to retire d. all except one die																													
8	<table><tr><td>Basis of difference</td><td>Dissolution of the firm</td><td>Dissolution of partnership</td></tr><tr><td>1.Meaning</td><td>It refers to close the operation of the business and end the business or economic relationship among partners.</td><td>It refers to making changes in the business relationship among the partners and continues the operation of the business.</td></tr><tr><td>2.Business Relationship among Partners</td><td>Business Relationship among the partners will end when there is the dissolution of the firm.</td><td>Business Relationship among the partners will Changes when there is the dissolution of the partnership.</td></tr><tr><td>3.Close the business operation</td><td>The closure of business operation is also known as dissolution of the firm.</td><td>In this case, no need for closure of business operation.</td></tr><tr><td>4.Voluntarily or compulsorily</td><td>The operation can be voluntarily closed by the decision of the partners and compulsorily if ordered by the court.</td><td>The partners can only make voluntarily in the business relationship among partner.</td></tr><tr><td>5.Closure of Books</td><td>The books are closed because of the operations of business ends.</td><td>The books do not need to close because of the operations of the business will continue.</td></tr><tr><td>6.Account Prepared</td><td>Realisation account prepared in the dissolution of the firm.</td><td>Revaluation account prepared in the dissolution of Partnership.</td></tr><tr><td>7.Assets and Liabilities</td><td>Realise the value of assets and payment made to settle liabilities.</td><td>Revalue the value of assets and reassessed the value of liabilities.</td></tr><tr><td>8.Effects</td><td>Dissolution of the firm does include the dissolution of Partnership.</td><td>Dissolution of the Partnership does not include the dissolution of Partnership.</td></tr></table>	Basis of difference	Dissolution of the firm	Dissolution of partnership	1.Meaning	It refers to close the operation of the business and end the business or economic relationship among partners.	It refers to making changes in the business relationship among the partners and continues the operation of the business.	2.Business Relationship among Partners	Business Relationship among the partners will end when there is the dissolution of the firm.	Business Relationship among the partners will Changes when there is the dissolution of the partnership.	3.Close the business operation	The closure of business operation is also known as dissolution of the firm.	In this case, no need for closure of business operation.	4.Voluntarily or compulsorily	The operation can be voluntarily closed by the decision of the partners and compulsorily if ordered by the court.	The partners can only make voluntarily in the business relationship among partner.	5.Closure of Books	The books are closed because of the operations of business ends.	The books do not need to close because of the operations of the business will continue.	6.Account Prepared	Realisation account prepared in the dissolution of the firm.	Revaluation account prepared in the dissolution of Partnership.	7.Assets and Liabilities	Realise the value of assets and payment made to settle liabilities.	Revalue the value of assets and reassessed the value of liabilities.	8.Effects	Dissolution of the firm does include the dissolution of Partnership.	Dissolution of the Partnership does not include the dissolution of Partnership.	Any 3 * 1	3
Basis of difference	Dissolution of the firm	Dissolution of partnership																												
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9	Share capital a/c Dr 1500 Share Premium a/c Dr 750 To Share forfeiture a/c300 Share allotment 1200 Share 1 st call 300 Share 2 nd call 450			6* ½	3																									

10	Amount received in excess of what has been called up is calls in advance Amount of allotment or calls still unpaid is the calls in arrears	2*1 ½	3						
III	Average profit 100000 Normal profit 30000 Super profit 70000 Goodwill 140000	2 2 2 1	7						
IV	1. Capital balance : Fixed capital A – 90000 ; B – 70000 2. Current account balance A – 11040 ; B - 4930 3. Capital : Fluctuating balance A – 101040 ; B - 74930	1 3 3	7						
V	Average profit Rs.100,000 Normal return 30,000 Super profit 70,000 Goodwill 70000*3 =140,000	1 1 2 3	7						
VI	Revaluation profit Rs.30500 M 19063, N 11437 Capital M 269063, N 203437, O 120000	4 3	7						
VII	a) Revaluation profit 45,000 A 20000, B 15000, C 10000 b) Capital balance A 300000, C 180000 c) A brings 19500 and C brings 46500 B's Loan a/c (Balance in capital) 261000	2 1 2 2							
VIII	<table><tr><td>1. Res Fund Dr 40000 To A 20000 B 12000 C 8000</td><td>5. Goodwill Dr 40000 To A 20000 B 12000 C 8000</td></tr><tr><td>2.Buildings Dr 16000 To revaluation 16000</td><td>5. Revaluation a/c Dr 16400 To A 8200 B 4920 C 3280</td></tr><tr><td>3. Revaluation Dr 1400 To Provision 1400</td><td>4. C's capital Dr 78920 To cash 78920</td></tr></table> 2.Revaluation a/c 3. Capital a/c	1. Res Fund Dr 40000 To A 20000 B 12000 C 8000	5. Goodwill Dr 40000 To A 20000 B 12000 C 8000	2.Buildings Dr 16000 To revaluation 16000	5. Revaluation a/c Dr 16400 To A 8200 B 4920 C 3280	3. Revaluation Dr 1400 To Provision 1400	4. C's capital Dr 78920 To cash 78920	6* ½ 2 2	7
1. Res Fund Dr 40000 To A 20000 B 12000 C 8000	5. Goodwill Dr 40000 To A 20000 B 12000 C 8000								
2.Buildings Dr 16000 To revaluation 16000	5. Revaluation a/c Dr 16400 To A 8200 B 4920 C 3280								
3. Revaluation Dr 1400 To Provision 1400	4. C's capital Dr 78920 To cash 78920								

IX	Realisation profit Rs 11000; A & B 5500 each No entry for taking over debtors by creditors Capital account balance A 31500, B 53500 Cash balance for payment 85000 above	3 2 2	7
X	Garner vs Murray rule says that: 1. That the solvent partners should bring in cash equal to their respective shares of the loss on realisation 2. That the solvent partners should bear the loss arising due to the insolvency of a partner in the ratio of their last agreed capitals 3. that the solvent partner having a debit balance will not bear the loss arising due to insolvency of a partner last agreed. Capital means 1. In case of Fixed Capitals - Fixed Capital (as given in the Balance Sheet) without any adjustment 2. In case of Fluctuating Capitals - Capital after making adjustments for past accumulated reserves, profits or losses, drawings, Interest on capital, Interest on Drawing, remuneration to a partner etc. to the date of dissolution but before making adjustment for profit or loss on realisation	7	7
XI	1. Equity share final call A/c Dr. 2500 To Equity share capital 2500 2. Equity share capital A/c Dr. 10,000 To calls in arrear 2500 To share forfeiture 7500 3. Bank A/c Dr 4900 Share Forfeiture A/c Dr 2100 To Equity share capital 7000 4. Share forfeiture A/c 3150 To Capital Reserve 3150 Notes:- Balance in share forfeiture A/c = 7500 Amount for 700 shares = $7500/1000 \times 700 = 5250$ Less: Amount Utilised = (2100) Balance left 3150	1 ½ 1 ½ 1 ½ 1 ½ 1	7
XII	1. Bank a/c Dr 210,000 To Share application a/c 210,000 2. Share Application a/c Dr 150,000 To Share Capital 150,000 3. Share Application a/c Dr 24,000 To Bank a/c 24,000 4. Share allotment a/c Dr 200,000 To Share Capital a/c 200,000 5. Share application a/c Dr 36,000 Bank a/c Dr 164,000 To Share allotment a/c 200,000	7*1	7

	6. Share 1st call a/c Dr 150,000 To Share capital a/c 150,000 7. Bank a/c Dr 150,000 To share capital a/c 150,000																																																																						
XIII	Books of Dinkar Limited Balance Sheet as at(Date) <table><tr><th>Particulars</th><th>Note No</th><th>Amount.(Rs.)</th></tr><tr><td>I. Equity and Liabilities</td><td></td><td></td></tr><tr><td>1.Shareholders' funds</td><td></td><td>35,90,000</td></tr><tr><td> a) Share capital</td><td>1</td><td></td></tr></table> Notes to Accounts <table><tr><th>Particulars</th><th></th><th>Amount (Rs.)</th><th>Amount (Rs.)</th></tr><tr><td>1. Share capital</td><td></td><td></td><td></td></tr><tr><td> Authorised share capital</td><td></td><td></td><td>50,00,000</td></tr><tr><td> 50,000 equity shares of Rs. 100 each</td><td></td><td></td><td></td></tr><tr><td> Issued capital</td><td></td><td></td><td>40,00,000</td></tr><tr><td> 40,000 equity shares of Rs. 100 each</td><td></td><td></td><td></td></tr><tr><td> Subscirbed and fully paid up capital</td><td></td><td></td><td>35,50,000</td></tr><tr><td> 35,500 equity shares of Rs. 100 eachfully paid</td><td></td><td></td><td></td></tr><tr><td> Subscirbed but not fully paid-up capital</td><td></td><td></td><td></td></tr><tr><td> 300 equity shares of Rs. 100 each fullycalled up</td><td></td><td>30,000</td><td></td></tr><tr><td> Less: Calls-in-arrears (300- 20)</td><td></td><td>(6,000)</td><td></td></tr><tr><td></td><td></td><td>24,000</td><td></td></tr><tr><td> Add: Share forfeiture A/c (200 shares Rs. 80)</td><td></td><td>16,000</td><td>40,000</td></tr><tr><td></td><td></td><td></td><td>39,50,000</td></tr></table>	Particulars	Note No	Amount.(Rs.)	I. Equity and Liabilities			1.Shareholders' funds		35,90,000	a) Share capital	1		Particulars		Amount (Rs.)	Amount (Rs.)	1. Share capital				Authorised share capital			50,00,000	50,000 equity shares of Rs. 100 each				Issued capital			40,00,000	40,000 equity shares of Rs. 100 each				Subscirbed and fully paid up capital			35,50,000	35,500 equity shares of Rs. 100 eachfully paid				Subscirbed but not fully paid-up capital				300 equity shares of Rs. 100 each fullycalled up		30,000		Less: Calls-in-arrears (300- 20)		(6,000)				24,000		Add: Share forfeiture A/c (200 shares Rs. 80)		16,000	40,000				39,50,000	7	7
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XIV	Books of A Ltd Balance Sheet as at March 31, 2013 <table><tr><th>Particulars</th><th>Note No</th><th></th><th>Amount (Rs)</th></tr><tr><td>I. Equity and Liabilities</td><td></td><td></td><td></td></tr><tr><td>1.Shareholders' Funds</td><td></td><td></td><td></td></tr><tr><td> a) Share Capital</td><td></td><td></td><td>50,00,000</td></tr><tr><td> b) Reserve and Surplus</td><td>1</td><td></td><td>1,30,000</td></tr><tr><td>2.Non -current Liabilities</td><td></td><td></td><td></td></tr><tr><td> a) Long-term borrowings</td><td>2</td><td></td><td>10,00,000</td></tr><tr><td>II.Assets</td><td></td><td></td><td></td></tr><tr><td>1.Non-current assets</td><td></td><td></td><td></td></tr><tr><td> a)Other non-current assets</td><td>3</td><td></td><td>30,000</td></tr><tr><td>2.Current assets</td><td></td><td></td><td></td></tr><tr><td> a)Inventories</td><td>4</td><td></td><td>20,000</td></tr></table>	Particulars	Note No		Amount (Rs)	I. Equity and Liabilities				1.Shareholders' Funds				a) Share Capital			50,00,000	b) Reserve and Surplus	1		1,30,000	2.Non -current Liabilities				a) Long-term borrowings	2		10,00,000	II.Assets				1.Non-current assets				a)Other non-current assets	3		30,000	2.Current assets				a)Inventories	4		20,000	3	7																				
Particulars	Note No		Amount (Rs)																																																																				
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	b)Cash and cash equivalents	5		98,000			
	c)Other current assets	6		10,000			
	Particulars	Note No	Amount (Rs)	Amount (Rs)			
	1.Reserve and Surplus						
	Securities premium 20,000						
	Less Preliminary expenses (40,000)		<u>(20,000)</u>				
	Statement of profit and loss		1,50,000	<u>1,30,000</u>			
	2.Long-term borrowings						
	8% Debentures			10,00,000			
	3.Other non-current assets						
	Discount on issue of 8% debentures (of Rs40,000)			30,000			
	4.Inventory			20,000			
	Loose tools						
	5.Cashand cash equivalents						
	Bank balance		60,000				
	Cash in hand		38,000	<u>98,000</u>			
	6.Other current assets						
	Discount on issue of 8% debentures (of Rs40,000)			10,000			

QUESTION PAPER (SET 2)

Financial Accounting IV

Time : 3 Hour

Max.Marks : 75

PART A

I Answer **all** questions in one word or one sentence

(9 x 1 = 9 Marks)

1	Super profit is the excess of average profit of a firm over	M 1.03	R
2	In the absence of any specific agreement, interest on partner's loan will be	M 1.02	R
3	A and B are partners sharing profits and losses in the ratio of 3:2. C is admitted for 1/6 th share of profits. Calculate sacrificing ratio	M 2.02	R
4	Gain or loss arising from revaluation on admission of a partner is shared by	M 2.01	R
5	In dissolution, an unrecorded liability paid is debited to	M 3.02	R
6	Profit or loss on realisation is to be divided between partners in their..... ratio.	M 3.02	R
7	Forfeiture of shares refers to shares for non-payment of calls that are due	M 4.04	R
8	The minimum share application money is -----.	M 4.01	R
9	Securities premium account is shown on the liabilities side of the balance sheet under the head....	M 4.02	R

PART B

II Answer any **eight** questions from the following, Each question carries 3 marks (8x3=24 Marks)

1	Three years' purchase of the last four years average profits is agreed as the value of goodwill. The profits and losses for the last four years are: I year Rs.50,000, II year Rs.80,000; III year Rs.30,000(Loss); IV year Rs.60,000. Calculate the amount of goodwill	M 1.04	U
2	Explain the methods by which the partners' capital accounts are maintained.	M 1.01	U
3	A partner draws Rs.1,000 p.m. Interest is to be charged at 10% p.a. Calculate interest on drawings, if the drawings are made in the beginning of the month	M 1.02	U
4	P and Q are partners sharing profits in the ratio of 3:2. They admit R for 1/3rd Share which acquires equally from P and Q. Calculate new profit sharing ratio and sacrificing ratio of old partners.	M 2.02	U
5	X and Y are partners sharing profit and loss in the ratio of 3:2. They admit Z on 1st January 2005. On that date, their Balance Sheet showed an amount of Rs.25,000 as Profit and Loss A/c in the asset side. Pass journal entry.	M 2.02	U
6	A and B, two equal partenrs in a firm have Rs.1,20,000 worth assets and Rs.60,000 liabilities. They want to dissolve the firm. Assets realised Rs.1,40,000 and liabilities are paid in full or Rs.50,000.	M 3.03	U

VII	X and Y were partners in a firm sharing profits in the ratio of 7:3. Z was admitted on 1/5th shares in the profits. What would be their New Profit Ratio and their sacrificing ratio in each of the following cases: (a) If Z acquired his shares equally, from the old partners. (b) If he acquired his profit - share in the original ratio of the old partners.	M 2.02	U
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OR

VIII	X, Y and Z were partners sharing in 3:2;1. On January 1, 2018 Y retired. On that date balance sheet was as follows: <table border="1"> <thead> <tr> <th>Liabilities</th><th>Rs</th><th>Assets</th><th>Rs</th></tr> </thead> <tbody> <tr> <td>General reserve</td><td>12000</td><td>Plant</td><td>60000</td></tr> <tr> <td>Bills Payable</td><td>10000</td><td>Patents</td><td>6000</td></tr> <tr> <td>Expense outstanding</td><td>4000</td><td>Debtors</td><td>19000</td></tr> <tr> <td>Creditors</td><td>20000</td><td>Stock</td><td>22000</td></tr> <tr> <td>X's capital</td><td>24000</td><td>Cash</td><td>1000</td></tr> <tr> <td>Y's capital</td><td>20000</td><td></td><td></td></tr> <tr> <td>Z's capital</td><td>18000</td><td></td><td></td></tr> <tr> <td></td><td>108000</td><td></td><td>108000</td></tr> </tbody> </table> The terms are: 1. Goodwill was to be valued at Rs.24000 2. New ratio between X and Y will be 3:2 3. Expenses outstanding are to be brought down to Rs.3000 4. Plant is to be valued at 10% loss and patents valued at Rs.8000 5. Total capital of the new firm will be fixed at Rs.50000 to be contributed by partners in profit sharing ratio Prepare Revaluation a/c and partners' capital a/c	Liabilities	Rs	Assets	Rs	General reserve	12000	Plant	60000	Bills Payable	10000	Patents	6000	Expense outstanding	4000	Debtors	19000	Creditors	20000	Stock	22000	X's capital	24000	Cash	1000	Y's capital	20000			Z's capital	18000				108000		108000	M 2.04	A
Liabilities	Rs	Assets	Rs																																				
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IX	The balance sheet of a firm as on 31st March 2019 was as under: <table border="1"> <thead> <tr> <th>Liabilities</th><th>Rs</th><th>Assets</th><th>Rs</th></tr> </thead> <tbody> <tr> <td>A's Capital</td><td>5000</td><td>Buildings</td><td>8,000</td></tr> <tr> <td>B's Capital</td><td>4000</td><td>Investments</td><td>2,000</td></tr> <tr> <td>C's Capital</td><td>3000</td><td>Debtors</td><td>1,000</td></tr> <tr> <td>Creditors</td><td>3500</td><td>Cash at Bank</td><td>3,000</td></tr> <tr> <td></td><td></td><td>Stock</td><td>1,500</td></tr> <tr> <td></td><td>15,500</td><td></td><td>15,500</td></tr> </tbody> </table> The partnership was dissolved on the above date. Cash realized was: Investments Rs.1,900; Buildings Rs.9,000; Debtors Rs.900; Stock Rs.1,400. The creditors were paid in full. The expenses of realization came to Rs.100. Prepare Realisation account and Capital account.	Liabilities	Rs	Assets	Rs	A's Capital	5000	Buildings	8,000	B's Capital	4000	Investments	2,000	C's Capital	3000	Debtors	1,000	Creditors	3500	Cash at Bank	3,000			Stock	1,500		15,500		15,500	M 3.03	A
Liabilities	Rs	Assets	Rs																												
A's Capital	5000	Buildings	8,000																												
B's Capital	4000	Investments	2,000																												
C's Capital	3000	Debtors	1,000																												
Creditors	3500	Cash at Bank	3,000																												
		Stock	1,500																												
	15,500		15,500																												

OR

X	X and Y are equal partners in a firm. They decided to dissolve the partnership on December 31, 2019 when the balance sheet stood as under:				M 3.03	A		
	Liabilities		Rs	Assets			Rs	
	Creditors		54,000	Cash at bank			22,000	
	Reserve Fund		20,000	Debtors			24,000	
	Loan		80,000	Stock			84,000	
	X's Capital		1,20,000	Furniture			50,000	
	Y's Capital		1,20,000	Plant			94,000	
				Land			1,20,000	
			3,94,000				3,94,000	
	Asserts were realised as follows:							
Land		1,44,000	Plant		96,000			
Furniture		45,000	Debtors		21,000			
Stock		81,000						
Creditors were paid Rs.51,000 in full settlement. Expenses of realisation amounted to Rs.6,000. Show the Realisation account and Capital accounts								

XI	S Ltd decided to make a public issue of 5,000 preference shares of Rs.100 each and 10,000 equity shares off Rs.10 each payable as follows: Preference shares : on application Rs.20; on allotment Rs.40 and on call Rs.40 Equity shares: on application Rs.2; on allotment Rs.3 and on call Rs.5 All the shares were taken up by the public and paid or in full. Give journal entries in the books of the company and also show the bank account.	M 4.02	U
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OR

XII	M Ltd. Invited applications for 80,000 shares of Rs.10 each at a premium of Rs. 2.50 per share payable as follows: On application Rs. 3; On allotment Rs. 4.50 (including premium) ;On Call Rs. 5 Applications were received for 1,70,000 shares, out of which applications for 10,000 shares were rejected and money refunded to them. The allotment was made pro-rata to the remaining applicants. Money over-paid on applications was used against allotment money due. Show necessary Journal entries.	M 4.02	U
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XIII	From the given particulars of B Co. Ltd. as at March 31, 2013, prepare balance sheet in accordance to the (revised) Schedule VI:				M 4.05	U
	Particulars	Rs	Particulars	Rs		
	Preliminary expenses	2,40,000	Goodwill	30,000		
	Discount on Issue of shares	20,000	Loose Tools	12,000		
	10% Debentures	2,00,000	Motor vehicles	4,75,000		
	Stock in trade	1,40,000	Provision for tax	16,000		
	Cash at bank	1,35,000				

	Bills receivables	1,20,000				

OR

XIV	From the following particulars, prepare Statement of profit and loss for the year ending March 2013, as per the revised Schedule VI:																																									
	<table><tr><td>Balances</td><td>Rs</td><td>Rs</td></tr><tr><td>Plant and Machinery</td><td>1,60,000</td><td></td></tr><tr><td>Land</td><td>6,74,000</td><td></td></tr><tr><td>Depreciation on Plant and Machinery</td><td>16,000</td><td></td></tr><tr><td>Purchases (Adjusted)</td><td>4,00,000</td><td></td></tr><tr><td>Closing stock</td><td>1,50,000</td><td></td></tr><tr><td>Wages</td><td>1,20,000</td><td></td></tr><tr><td>Sales (Net)</td><td></td><td>10,00,000</td></tr><tr><td>Salaries</td><td>80,000</td><td></td></tr><tr><td>Bank overdraft</td><td></td><td>2,00,000</td></tr><tr><td>10% debentures (issued on 1st April, 2012)</td><td></td><td>1,00,000</td></tr><tr><td>Equity share capital– shares of Rs. 100 each (fully paid)</td><td></td><td>2,00,000</td></tr><tr><td>Preference share capital– 1,000; 6% shares of Rs.100 each (fully paid)</td><td></td><td>1,00,000</td></tr></table>	Balances	Rs	Rs	Plant and Machinery	1,60,000		Land	6,74,000		Depreciation on Plant and Machinery	16,000		Purchases (Adjusted)	4,00,000		Closing stock	1,50,000		Wages	1,20,000		Sales (Net)		10,00,000	Salaries	80,000		Bank overdraft		2,00,000	10% debentures (issued on 1st April, 2012)		1,00,000	Equity share capital– shares of Rs. 100 each (fully paid)		2,00,000	Preference share capital– 1,000; 6% shares of Rs.100 each (fully paid)		1,00,000	M 4.05	A
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	Additional information																																									
	(i) Equity dividend @ 10% declared on paid up capital.																																									
	(ii) Dividend on the preference share capital paid in full.																																									
	(iii) Rs. 2,00,000 transferred to general reserve.																																									

Question Wise Analysis

Course: Financial Accounting IV SET 2

Q.No	Module Outcome	Cognitive Level	Marks	Time
I. 1	M 1.03	R	1	2
2	M 1.02	R	1	2
3	M 2.02	R	1	2
4	M 2.01	R	1	2
5	M 3.02	R	1	2
6	M 3.02	R	1	2
7	M 4.04	R	1	2
8	M 4.01	R	1	2
9	M 4.02	R	1	2
II 1	M 1.04	U	3	6
2	M 1.01	U	3	6
3	M 1.02	U	3	6
4	M 2.02	U	3	6
5	M 2.02	U	3	6
6	M 3.03	U	3	6
7	M 3.03	U	3	6
8	M 3.02	U	3	6
9	M 4.04	R	3	6
10	M 4.02	R	3	6
III	M 1.02	U	7	19
IV	M 1.03	U	7	19
V	M 1.02	U	7	19
VI	M 2.04	U	7	19
VII	M 2.02	U	7	19
VIII	M 2.04	A	7	19
IX	M 3.03	A	7	19
X	M 3.03	A	7	19
XI	M 4.02	U	7	19
XII	M 4.02	U	7	19
XIII	M 4.05	U	7	19
XIV	M 4.05	A	7	19

Course : Financial Accounting IV SET 2**Blue Print****Mark Distribution**

Module	hr / Module	Marks/Module ($h_i / \sum H_i$) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	15	32	2	2	3	9	3	21	8	32
2	14	30	2	2	2	6	3	21	7	29
3	12	25	2	2	3	9	2	14	7	25
4	17	36	3	3	2	6	4	28	9	37
Total	58	123	9	9	10	30	12	84	31	123

Blue Print**Cognitive Level Mark Distribution**

Cognitive Level	Marks	% of Marks
Remembering	15	12%
Understanding	80	65%
Applying	28	23%
Analysing	-	-
Evaluating	-	-
Creating	-	-
Total	123	100%

SCHEME OF VALUATION (SET 2)
(Scoring Indicators)

Revision: 2021

Course Code :

Course Title: FINANCIAL ACCOUNTING IV

Qn. No.	Scoring Indicators	Spl it sco re	Tot al sco re
1 2 3 4 5 6 7 8 9	Normal Profit @6% 3:2 Old Ratio Realisation account Old Ratio Cancellation of shares 5% of nominal value of shares Reserves and surplus	1 each	9
II 1.	50000+80000-30000+60000=160000 160000/4=40000 Goodwill = 40000*3=120000	3	3
2.	1.Fixed method 2.Fluctuating method(explanation)	2* 1	3
3	Average period = $(12+1) / 2 = 6.5$ months Total drawings = $1000 * 12 = 12000$ Interest on drawings = $12000 * 6.5/12 * 10/100 = 650$	3	3
4	Sacrifice by A= $1/3 * 1/2 = 1/6$ Sacrifice by B= $1/3 * 1/2 = 1/6$ New share of A= $3/5 - 1/6 = 13/30$ New share of B= $2/5 - 1/6 = 7/30$ C's share = $1/3 = 10/30$ New share = 13:7:10 Sacrifice ratio= $1/6:1/6=1:1$	2* 1 ½	3
5	X's capital Dr 15000 Y's capital Dr 10000 To profit & Loss A/c 25000	3	3
6	Realisation profit = 26000 Division: A13000 & B 13000	3	3
7	1.A's capital A/c Dr 80000 To Realisation A/c 80000 2.Realisation A/c Dr 40000 To Cash a/c 40000 3.Realisation A/c Dr 30600 To Cash a/c 30600	3* 1	3
8	1. Realisation a/c at the time of dissolution, while revaluation at reconstitution 2. Realisation for ascertaining profit on realisation, while revaluation for profit on change in value of assets and liabilities 3. All assets and liabilities transferred on book value in realisation a/c, but only changes noted in revaluation 4. In realisation a/c realisation expenses shown, no expenses on revaluation is recorded	An y 3 * 1	3

9	Reissue of forfeited Share Originally Issued at Par On reissue of shares at discount: Bank A/c ... Dr. (With reissue price) Share Forfeited A/c ...Dr. (With the discount allowed on reissue) To Share Capital A/c (With the amount called up) Transfer to Capital Reserve: The balance remaining in share forfeited account is in the nature of capital gain and would be closed by transfer to the capital reserve account. The necessary journal entry will be: Share forfeited a/c Dr. (with credit balance left in share forfeited account after reissue) To Capital reserve a/c				3	3																																				
10	1.Securities Premium Account can be used for writing off any preliminary expenses of the company, 2. To write off expenses of issue of shares and debentures, such as commission paid or discount given on the issue of shares, 3. The balance can also be used to provide for the premium that is payable on the redemption of debentures or of preference shares of the company, 4. And finally, it can be utilized by the company to buy back its own shares.				Any 3 * 1	3																																				
III	<table><tr><th>Particulars</th><th>Amount</th><th>Particulars</th><th>Amount</th></tr><tr><td>B's Salary</td><td>5000</td><td>P&L A/c</td><td>50000</td></tr><tr><td>C's Commission</td><td>4000</td><td>Interest on drawings</td><td>600</td></tr><tr><td>Interest on capital</td><td>6000</td><td></td><td></td></tr><tr><td>Profit</td><td></td><td></td><td></td></tr><tr><td>A's capital - 17800</td><td></td><td></td><td></td></tr><tr><td>B's capital - 10680</td><td></td><td></td><td></td></tr><tr><td>C's capital - 7120</td><td>35600</td><td></td><td></td></tr><tr><td></td><td>50600</td><td></td><td>50600</td></tr></table>				Particulars	Amount	Particulars	Amount	B's Salary	5000	P&L A/c	50000	C's Commission	4000	Interest on drawings	600	Interest on capital	6000			Profit				A's capital - 17800				B's capital - 10680				C's capital - 7120	35600				50600		50600	7	7
Particulars	Amount	Particulars	Amount																																							
B's Salary	5000	P&L A/c	50000																																							
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	50600		50600																																							
IV	Goodwil 1.Average Profit Method,2.Weighted Average Method, 3. Super-Profit Method 4. Capitalisation of Average Profit Method, 5. Capitalisation of Super-Profit Method, 6. Present value of super profit method				6*																																					
V	<table><tr><th>Date (1)</th><th>Amount of Drawings (2)</th><th>Period for which money has been used (3)</th><th>Product (4) (2) * (3)</th></tr><tr><td>January 31</td><td>2000</td><td>11</td><td>22000</td></tr><tr><td>March 31</td><td>1000</td><td>9</td><td>9000</td></tr><tr><td>April 30</td><td>500</td><td>8</td><td>4000</td></tr><tr><td>June 30</td><td>400</td><td>6</td><td>2400</td></tr><tr><td>August 31</td><td>1000</td><td>4</td><td>4000</td></tr><tr><td>October 31</td><td>300</td><td>2</td><td>600</td></tr><tr><td></td><td>5200</td><td></td><td>42000</td></tr><tr><td colspan="4">Interest on drawings = sum of products*(rate of interest/100)*(1/12) 42000*(5/100)*(1/12) = Rs.175</td></tr></table>				Date (1)	Amount of Drawings (2)	Period for which money has been used (3)	Product (4) (2) * (3)	January 31	2000	11	22000	March 31	1000	9	9000	April 30	500	8	4000	June 30	400	6	2400	August 31	1000	4	4000	October 31	300	2	600		5200		42000	Interest on drawings = sum of products*(rate of interest/100)*(1/12) 42000*(5/100)*(1/12) = Rs.175				4 3	7
Date (1)	Amount of Drawings (2)	Period for which money has been used (3)	Product (4) (2) * (3)																																							
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VI	1.Goodwill calculation 2.P&L share 3.Revaluation profit share R's capital a/c <table><tr><td>To R's Executor's A/c</td><td>36000</td><td>By Balance b/d</td><td>20000</td></tr><tr><td></td><td></td><td>By Goodwill</td><td>8000</td></tr></table>				To R's Executor's A/c	36000	By Balance b/d	20000			By Goodwill	8000	1 1 1 4	7																												
To R's Executor's A/c	36000	By Balance b/d	20000																																							
		By Goodwill	8000																																							

			By Revaluation By P&L Suspense A/c	3000 5000 36000		
VII	(a) New ratio 6:2:2 ; sacrifice ratio 1:1 (b) New ratio 14:6:5 ; sacrifice ratio 7:3				3.5 * 2	7
VIII	Revaluation loss Rs.3000 (X 1500; Y 1000; Z 500) Balance of capital X 30000; Z 20000 Cash to be brought in – X 3900; Z 6100 Payable to Y (Y's loan a/c) 31000				2 2 1 2	7
IX	Revaluation a/c Total Rs.16700; Profit 600 (200 each) Capital a/c balance A5200; B 4200 ; C3200				3.5 * 2	7
X	Revaluation a/c Total Rs.521000; Profit 12000 (6000 each) Capital a/c balance X136000; Y 136000				3.5 * 2	7
XI	Preference shares 6 journal entries Equity shares 6 journal entries Bank a/c total Rs.600000				6* ½ 6* ½ 1	7
XII	Application Received 510000; Capital 240000; Refunded 30000 Allotment due 360000 (Capital 160000, Premium 200000) Received 120000; Call due 400000; Received 400000				7* 1	7
XIII	Book of B Co. Ltd. Balance Sheet as at March 31, 2013				3.5 * 2	7
	Particulars	Note no	Figure as at the end at the end of current of reporting period	Figure as at the nd at the end of previous reporting period		
	I. Equity and Liabilities					
	1. Non-current Liabilities					
	a) Long-term borrowings	1	200000			
	2. Current liabilities					
	a) Short-term provisions	2	16000			
	II. Assets					
	1. Non-current assets					
	a) Fixed assets	3	475000			
	Tangible assets	4	30000			
	Intangible assets					
	2. Other non-current assets*	5	260000			
	Current assets	6				
	a) Inventories	7	152000			
	b) Trade receivables		12000			
	c) Cash and cash equivalents		135000			
	Notes to Accounts					

[illegible]